

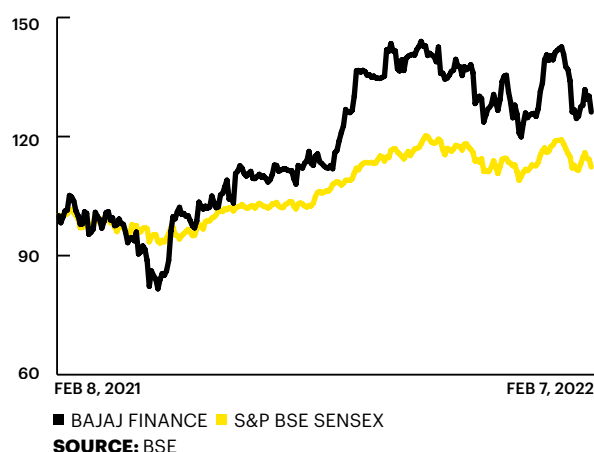
it was a small, captive auto finance company. Today, it is a giant in comparison: standalone revenues in FY21 were at ₹23,563 crore, and market cap today is at ₹4 lakh crore, higher than Axis Bank and Kotak Mahindra Bank. What is the recipe behind this success? At the foundational level, four key things have remained consistent and common all along—people, great attitude, patient capital, and planning. “People make businesses in the services sector. You need to have a positive attitude. You need patient capital for building a long-term business, and also continuous strategic planning,” says Jain.

One-click Financial Supermarket

The company, which was at the forefront of digitisation in the past decade, is now transiting from a digitised company to a digital company. “Digitised means some [part] of the process was digital, but the entire process was not,” explains Jain. In fact, it started using cloud computing at the point-of-sale way back in 2007. Today, 60 per cent of its workload runs on the cloud. The company also claims to be one of the largest customers of software-as-a-service (SaaS) major Salesforce in India. Initially, Bajaj Finance’s plan was to make a super app for existing customers, but post-Covid-19, the plan was extended to create an all-encompassing app. Under this new ecosystem, it is developing five proprietary marketplaces—EMI store, insurance marketplace, mutual fund (MF), broking and health—that will allow customers to review, compare and buy a host of financial products and services across electronics, insurance, investments, and healthcare categories. The omnichannel strategy would make it easier for customers to move seamlessly between online and offline channels, which would make the new model more cost-effective.

The company is taking its EMI store to the next level. Of the 120,000 merchants it works with in the physical world (such as Croma, Vijay Sales, etc.), 12,000 are already on board its digital app. It has close to 78,000 SKUs and 35,000 merchants on its existing web-based marketplace platforms. “The merchants will be able to get a logistics partner to come and pick up products and deliver to clients,” says Jain. It has also introduced an aggregator model with 900 insurance products across a dozen insurance companies. Customers have the flexibility to use a Bajaj EMI card or UPI wallet to pay the premium. The MF or investment marketplace offers a host of MF products that you can review, compare and buy. The company’s broking app offers loans against shares. And the fifth vertical, BFL Health, has built a doctors’ portal that allows visitors to review hospitals, and scan some 100,000 doctors. “Execution is the key to this digi-

Ahead of the Benchmark



Likely Challenges

- Tough competition from banks and fintech firms in a digital environment
- Regulatory risks and more stringent regulations likely for NBFCs
- Banking licence to access low-cost funds
- Two key strategists—Rahul Bajaj and Nanoo Pamnani—passed away in the past two years
- Economic stress to impact consumer financing business and profitability

tal transformation journey. If the company is unable to make meaningful progress on re-shaping its business towards the digital economy, it could (negatively) impact its prospects,” says Siji Philip, Senior Research Analyst, Axis Securities.

Payments Ecosystem

The biggest inclusion in the super app is the payments ecosystem. It has developed a wallet application called ‘Bajaj Pay,’ which offers payment options via UPI, EMI card, or credit card. This payments piece will sit as the frontline engagement tool for customers on a day-to-